October 23, 2026 01:57 AM GMT

Western Digital | North America

F1Q27 Earnings – Fighting Misconceptions After A Strong Quarter

WHAT'S CHANGED

Western Digital (WDC.O)	From	To
Price Target	$643.00	**$668.00**

AlphaSignals Earnings Reaction

Strengthens our thesis
Impact to our thesis

Modest upside
Financial results versus consensus

Meaningful revision higher
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

WD just posted a strong, pricing-driven beat/raise, is accelerating rev growth to 70% Y/Y with ~80% incremental margins, has visibility into 2031 from its top 7 customers, and is returning 100% of FCF to shareholders. Capex comments were misinterpreted and we add clarity why below. Remain OW.

Key Takeaways

- Sept Q upside came from stronger EB growth and Price/EB growth, and both metrics should accelerate further throughout FY27.
- Dec Q EPS guide of $5.80 was 13% above our $5.25 forecast, which was 10% above Street ($4.84). Taking the T4Q avg EPS beat means Dec Q EPS likely goes $6.50+.
- Mgmt called out stronger demand, longer customer visibility, a broader customer base, and no change to industry fundamentals, countering recent headlines.
- Capex comments were misinterpreted. Yes, capex is ramping, but to support head/platter/substrate growth, not unit growth – mgmt previously communicated this.
- FY27/FY28 EPS moves 4-9% higher, even with conservative pricing forecasts. On unchanged 14x P/E, PT moves to $668. Remain OW.

Clear confirmation of our Overweight thesis. The market continues to be fickle (see our capex read below), but our conviction in the HDD bull case, as well as WD's path to over $45 of EPS by FY28 has strengthened (FY28 bull case EPS is $60+). What drives that conviction? A number of points that came up on tonight's call: (1) HDD demand is stronger today than 3-6 months ago, and WD's customer base is broadening out to neoclouds, frontier labs, and physical AI companies, (2) WD expects Y/Y exabyte (EB) growth to accelerate through FY27 and FY28 and still fall short of customer demand, (3) WD's top 7 customers are all now providing visibility

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Western Digital (WDC.O, WDC US)

IT Hardware | United States of America

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	**$668.00**
Shr price, close (Oct 22, 2026)	$354.19
52-Week Range	$799.87-117.23

Fiscal Year Ending	06/26	06/27e	06/28e	06/29e
EPS ($)**	10.24	25.97	47.73	60.19
Prior EPS ($)**	-	23.79	45.95	57.89

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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out to 2030-2031 – 3 months ago WD talked about customers starting to negotiate LTAs into CY29-CY31, (4) Price per EB growth accelerated from +18% Y/Y in the June quarter to +28% Y/Y in the September quarter, and December quarter guidance implies another period of price acceleration with mgmt noting "*growth can accelerate for the next 3-4 quarters*", (5) 58% gross margins continue expanded by 350bps Q/Q, with 80% incremental margins showing WD is nowhere close to peak, and (6) mgmt noted they don't see any change to long-term fundamentals (supply, pricing, etc.) for the industry and that the gap between supply and demand is not perishable, with some customers reporting only 1 week of HDD inventory on hand today.

All told, things are only strengthening for WD. In fact, despite being 9% ahead of Street EPS in the December quarter, WDC just guided 10%+ above our estimates, and on average, has outperformed the midpoint of their EPS guidance by 14% over the last 4 quarters – meaning when all is said and done December quarter EPS could easily surpass $6+ vs. Consensus at $4.84. With shares in the after-market now trading at 12.7x our new FY27 EPS (of $25.97) and 6.9x our new FY28 EPS (of $47.73) WD is hovering around our "close your eyes and buy" levels, and we remain OW-rated with a new $668 PT, or 102% upside, based on 14x our new FY28 EPS. FWIW, we think tonight's report is also a clear positive read-through to STX earnings next week, where we have gained conviction in a pricing-driven beat/raise.

What we learned from WDC's F1Q27 (September quarter) earnings call and callback:

(+) Price per bit growth should continue to accelerate through at least the next 3-4 quarters. $/TB growth accelerated from the high-teens Y/Y in the June quarter to +28% Y/Y in the September quarter (or $17.7/TB), and December quarter guidance implies another step-up to >30% Y/Y growth. More importantly, mgmt sees “further room” for Y/Y growth to accelerate over the next 3-4 quarters – consistent with our checks – driven by (1) existing LTAs include periodic price increases, while expiring agreements are being renewed into a better pricing environment, (2) exabytes outside LTAs are seeing particularly strong pricing as we've noted, and (3) WDC continues to sell the value of TCO savings as customers transition to higher-capacity drives. Notably, HAMR should not disrupt this trajectory either, with mgmt explicitly noting that HAMR will not be discounted vs. ePMR and will continue to be priced on a premium $/TB basis. For reference, after growing 8% Q/Q in the September quarter, we forecast nearline $/TB growth averaging just 6% Q/Q over the next 3 quarters, which we believe is very conservative. And yet we are still 25% above Street EPS in FY27. If we were to assume Q/Q nearline $/TB growth very modestly accelerates each of the next 3 quarters (to +9% Q/Q, then +10% Q/Q, and then +11% Q/Q) – which would be more directionally consistent with our checks – our FY27/FY28 EPS would be 9-16% higher than today, implying a valuation closer to 6x P/E.

(=) The market misinterpreted mgmt's comments on capex – here's what you need to know. Since spinning SNDK, WD has been consistent – they need to invest in head/media/substrate capacity (plus automation tools) to support mix shift to higher capacity 10-14 platter drives. Even as recently as September, when referencing capex as a % of revenue, WD said "*...the next couple of years, we might*

be actually slightly above that [4-6%] range, but when you look at it over a 5 year period, it should be in or about that 4-6%". So tonight's capex comments – which drove the stock down 6.5% after-hours despite the across the board beat/raise – were consistent with exactly what the company has already told the market. And for anyone confused on platter growth vs. unit growth, consider this fact – over the last 12 months, WD platter count shipped has grown low-teens% Y/Y with minimal unit growth given mix shift to higher capacity drives. And that growth doesn't even include mixing into the 11-14 platter 40-55TB ePMR and HAMR drives that are launching now and over the next few years, which require even more platters/ media/substrate due to a more complex cycle process (hence the investments). Said differently, how else will WD accelerate EB growth with minimal unit growth? Selling a greater mix of higher capacity drives, which combine the areal density benefits of ePMR and HAMR (i.e. more bits per platter) with increased platter (and head) count. If anyone has any questions on this concept, please call us.

(=) Cost/TB declines not as robust in the short-term, but pricing upside supports continued gross margin expansion. Over the last 4 quarters, WD has averaged Y/Y cost per TB declines of 9% Y/Y, so we were surprised to see just 4.5% Y/Y cost/TB declines in the September quarter. But 2 factors worked against WD – higher component costs (DRAM/NAND) and negative mix shift, with non-nearline EBs growing 14% Q/Q vs. nearline EBs growing 7% Q/Q. However, gross margins were able to expand 370bps Q/Q because pricing was much stronger than expected. Both of these trends are expected to persist in the December quarter, and into C1H27 – slower cost/TB declines between product transitions but faster price/TB growth – which means gross margins should still expand 3-4pts Q/Q, on average. Once WD's newest ePMR drives reach 50%+ of nearline EB's shipped and WD reduces reliance on certain commodities, we should see cost per TB declines reaccelerate towards 10% Y/Y, which we conservatively assume happens in the December '27 quarter.

(+) Up to 40TB ePMR tech is ramping in-line with expects, while the HAMR ramp is now ahead of plan. WDC's latest 40TB ePMR platform is ramping in line with expectations and customer adoption is progressing faster than prior product transitions, which means these drives will represent ~30% of nearline EB shipments in the December quarter and 50% of NL EB's in March. Meanwhile, WD's HAMR progress is ahead of plan, with 2 hyperscalers finishing quals on 4TB/disk HAMR in C1Q27 and volume shipments commencing in C1H27, while 2 additional customers will begin qualifications in C1H27. WDs second-gen 5TB/disk HAMR qualifications will now start in C2H27, ahead of schedule. Together, these product transitions give us increasing confidence that September's +22% Y/Y EB growth represents a trough, with growth accelerating over the next 6-8 quarters and supporting WDC's ability to deliver 25%+ long-term Y/Y EB growth.

Earnings Variance

Exhibit 1: WDC F1Q27 earnings variance

Quarterly Variance and Performance Analysis
Ticker: **WDC**
Industry View: **In-Line**
Rating: **Overweight**

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F2Q27 and FY27 Expectations

Consensus (pre-call): F2Q27 revenue of $4.57B and non-GAAP EPS of $4.84, and FY26 revenue of $19.3B and non-GAAP EPS of $20.85

MS Estimate (pre-call): F2Q27 revenue of $4.79B and non-GAAP EPS of $5.25, and FY26 revenue of $20.5B and non-GAAP EPS of $23.79

Guidance: F2Q27 Revs of $5.10B +/- $100M, non-GAAP GM of 60.0% - 61.0%, Opex of $400M - $410M, OI&E of ~$15M, tax rate of ~17%, non-GAAP diluted EPS of $5.80 +/- $0.15, and Diluted Share Count of ~380M.

($ Millions)	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F4Q26A	F1Q27A	F1Q27E	Delta	Variance	Q/Q Growth	Y/Y Growth	Consensus
Total Revenues (non-GAAP)	**$2,409**	**$2,294**	**$2,605**	**$2,818**	**$3,017**	**$3,337**	**$3,747**	**$4,381**	**$4,189**	**5%**	**$192**	**16.9%**	**55.5%**	**$4,144**
Cost of Revenue	**$1,483**	**$1,374**	**$1,528**	**$1,581**	**$1,626**	**$1,653**	**$1,710**	**$1,837**	**$1,845**	**0%**	**($8)**	**7.4%**	**16.2%**	
Gross Profit	**$926**	**$920**	**$1,077**	**$1,237**	**$1,391**	**$1,684**	**$2,037**	**$2,544**	**$2,345**	**9%**	**$199**	**24.9%**	**105.7%**	**$2,297**
Gross profit margin	*38.4%*	*40.1%*	*41.3%*	*43.9%*	*46.1%*	*50.5%*	*54.4%*	*58.1%*	*56.0%*		*210bps*			*55.4%*
SG&A	$110	$79	$83	$87	$83	$103	$98	$108	$96	**12%**	$12	10.2%	24.1%	
SG&A as % of Sales	*4.6%*	*3.4%*	*3.2%*	*3.1%*	*2.8%*	*3.1%*	*2.6%*	*2.5%*	*2.3%*		*17bps*			
R&D	$225	$245	$262	$294	$289	$294	$284	$283	$302	**-6%**	($19)	-0.4%	-3.7%	
R&D as % of Sales	*9.3%*	*10.7%*	*10.1%*	*10.4%*	*9.6%*	*8.8%*	*7.6%*	*6.5%*	*7.2%*		*-74bps*			
Total OpEx	**$335**	**$324**	**$345**	**$381**	**$372**	**$397**	**$382**	**$391**	**$398**	**-2%**	**($7)**	**2.4%**	**2.6%**	
Operating Income	**$591**	**$596**	**$732**	**$856**	**$1,019**	**$1,287**	**$1,655**	**$2,153**	**$1,947**	**11%**	**$206**	**30.1%**	**151.5%**	
Operating margin	*24.5%*	*26.0%*	*28.1%*	*30.4%*	*33.8%*	*38.6%*	*44.2%*	*49.1%*	*46.5%*		*268bps*			
Net Interest & Other Net	($90)	($84)	($52)	($44)	($45)	($24)	($10)	($10)	($14)	-31%	$4	0.0%	-77.3%	
Pre-tax Income	501	512	680	812	974	1263	1645	2143	1932	11%	211	30.3%	163.9%	
Effective Tax rate	*14.0%*	*2.3%*	*9.3%*	*17.1%*	*15.1%*	*16.0%*	*16.0%*	*17.0%*	*17.0%*		*0.0%*			
Net Income	**$420**	**$487**	**$600**	**$655**	**$807**	**$1,048**	**$1,382**	**$1,779**	**$1,604**	**11%**	**$175**	**28.7%**	**171.6%**	
Operating EPS	**$1.20**	**$1.36**	**$1.66**	**$1.78**	**$2.13**	**$2.72**	**$3.56**	**$4.64**	**$4.13**	**13%**	**$0.52**	**30.4%**	**161.7%**	**$4.11**
Diluted Share Count	350	358	362	369	378	385	388	383	388		-5	-1.3%	3.8%	

Segment Data	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F4Q26A	F1Q27A	F1Q27E					
Cloud Revenue	**2,096**	**2,007**	**2,329**	**2,510**	**2,673**	**2,972**	**3,335**	**3,855**	**3,704**	**4%**	**$151**	16%	54%	
Y/Y	103%	38%	36%	31%	28%	48%	43%	54%	48%					
Q/Q	10%	-4%	16%	8%	6%	11%	12%	16%	11%					
Non-Cloud Revenue	**313**	**287**	**276**	**308**	**344**	**365**	**412**	**526**	**485**	**8%**	**$41**	28%	71%	
Y/Y	-7%	-3%	-5%	2%	10%	27%	49%	71%	57%					
Q/Q	3%	-8%	-4%	12%	12%	6%	13%	28%	18%					
Nearline Exabytes	**154.0**	**145.0**	**170.0**	**183.0**	**192.0**	**199.0**	**209.0**	**223.0**	**220.5**	**1%**		7%	22%	
Y/Y	130%	35%	36%	30%	25%	37%	23%	22%	20%					
Q/Q	9%	-6%	17%	8%	5%	4%	5%	7%	5%					
Ex-nearline Exabytes	**22.0**	**21.0**	**20.0**	**21.0**	**23.0**	**23.0**	**22.0**	**25.0**	**21.6**	**16%**		14%	19%	
Y/Y	-6%	4%	5%	-13%	5%	10%	10%	19%	3%					
Q/Q	-8%	-5%	-5%	5%	10%	0%	-4%	14%	-2%					

Balance Sheet/Return Metrics	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F4Q26A	F1Q27A	F1Q27E			Q/Q	Y/Y	
Inventory Turns	4.8	4.2	4.7	4.5	4.8	4.9	4.5	4.1	4.7			=	-	
Days Sales	64.7	57.6	45.0	44.2	51.4	51.1	45.0	46.9	43.0			=	+	
Days Payable	81.1	84.3	75.4	89.2	84.7	86.4	94.4	92.9	88.0			=	+	
Days Inventory	77.4	85.9	76.9	81.1	76.3	73.9	80.4	89.2	78.0			=	+	
Cash Conversion	**61.0**	**59.2**	**46.5**	**36.1**	**43.0**	**38.6**	**31.0**	**43.2**	**33.0**			=	+	
ROE	3.5%	3.9%	11.1%	11.8%	13.2%	14.3%	14.3%	20.1%	18.1%			=	=	
ROA	3.6%	5.6%	7.3%	8.7%	10.0%	19.0%	27.8%	34.9%	33.7%			=	=	
CFO	355	508	746	672	745	1,123	1,389	1,604	1,751			=	+	
Capex	(113)	(128)	(71)	(73)	(92)	(145)	(108)	(227)	(209)			=	-	
FCF	**242**	**380**	**675**	**599**	**653**	**978**	**1,281**	**1,377**	**1,542**			=	+	
Cash and cash equivalents	1,487	3,477	2,114	2,048	1,975	2,050	1,579	1,314	1,922			=	-	
D&A	84	110	86	88	92	96	99	104	109					

	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F4Q26A	F1Q27A	F1Q27E					
Price Per Exabyte	**$13.7**	**$13.8**	**$13.7**	**$13.8**	**$14.0**	**$15.0**	**$16.2**	**$17.7**	**$17.3**					
% Change Y/Y	-9.4%	0.7%	-1.5%	3.0%	2.5%	8.8%	18.3%	27.9%	25.3%					
% Change Q/Q	2.1%	1.0%	-0.8%	0.8%	1.6%	7.1%	7.9%	8.9%	6.7%					
Cost Per Exabyte	**$8.4**	**$8.3**	**$8.0**	**$7.8**	**$7.6**	**$7.4**	**$7.4**	**$7.4**	**$7.6**					
% Change Y/Y	-26.9%	-13.7%	-10.8%	-7.8%	-10.2%	-10.0%	-8.0%	-4.4%	-1.7%					
% Change Q/Q	0.2%	-1.8%	-2.8%	-3.6%	-2.4%	-1.5%	-0.6%	0.1%	2.9%					
WDC EB shipped	**176.0**	**166.0**	**190.0**	**204.0**	**215.0**	**222.0**	**231.0**	**248.0**	**242.1**					
Y/Y Growth	94.4%	30.0%	31.9%	23.6%	22.2%	33.7%	21.6%	21.6%	18.7%					

Source: Company data, FactSet, Morgan Stanley Research estimates

Risk Reward – Western Digital (WDC.O)

An Undervalued Special Sit Tied To Once In a Generation Data Center Buildout

PRICE TARGET $668.00

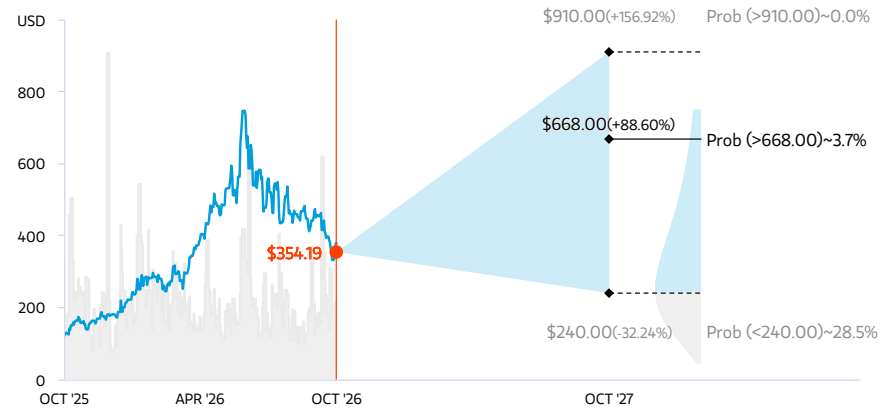
Our PT implies 14.0x FY28 EPS of $47.73, as we expect share to trade toward the peak multiples (14.0x) in the previous industry upcycle.

Consensus Price Target Distribution $428.40 — $641.79 (MS PT) — $900.00

Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 22 Oct 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

WDC benefits from accelerating data growth, which drives storage demand in the cloud and on-prem. We believe that the HDD cycle is 'Stronger for Longer' – demand outstrips supply with continued upward pressure in HDD pricing – and entering a period of AI-driven storage demand growth, which will benefit both HDDs and SSDs shipments. While WDC is behind STX in HAMR timeline, we believe WDC will retain its leading HDD revenue and profits market share in the near term with its competitive UltraSMR solutions for high-capacity drives before the industry shifts to wider adoption of HAMR. Accelerated mix shift toward higher-capacity drives lowers cost per TB, supporting continued margin expansion.

Consensus Rating Distribution

74%	Overweight
26%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Pricing Power:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $910.00

14.0x FY28 Bull-case EPS of $65.00

Cloud storage demand surprises positively, gross margins expand more quickly due to much higher high-capacity mix, and WDC sees a greater AI-driven demand uplift. Gross margins approaching 70% range in FY27-28. Incremental HDD demand from AI in CY27 is more material than expected. Pricing environment remains healthy into FY28, driving mid-20s % Y/Y price per EB growth. HAMR timeline accelerates, with earlier-than-expected qualification completion and volume shipment timing.

BASE CASE $668.00

14.0x FY28 EPS of $47.73

GMs approach mid-60% range and AI drives HDD demand, creating a compelling EPS story in FY27-28. The HDD market remains healthy in CY27, and AI drives a HDD demand uplift in FY27-29. Increase in high-capacity drive mix expand GMs to 60% levels, and continued opex discipline supports EPS. Our PT assumes 14.0x - 1x turn below our target multiple for STX - which is where STX stock multiples traded up to during the previous HDD industry upcycle in 2021-22.

BEAR CASE $240.00

8.0x FY28 Bear-case EPS of $30.00

HDD growth decelerates, gross margins struggle to further expand, and AI-driven demand doesn't materialize. Our bear case assumes the HDD demand growth turns out to be milder than expected. Despite market share leadership in high-capacity drives, headwinds such as , production charges, and tariffs keep GM depressed and lead to fixed cost deleverage. Our bear case assumes shares trade at 8.0x on our FY28 bear-case EPS of $30.00.

Risk Reward – Western Digital (WDC.O)

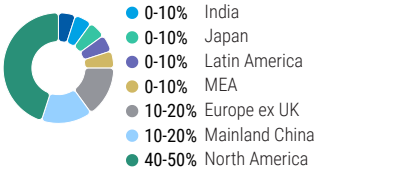
KEY EARNINGS INPUTS

Drivers	Jun 2026	Jun 2027e	Jun 2028e	Jun 2029e
Revenue Growth (Y/Y) (%)	35.7	68.0	48.8	13.5
HDD Exabyte Growth (Y/Y) (%)	25.1	27.1	22.4	4.6
Nearline HDD Exabyte Growth (Y/Y) (%)	28.4	28.6	24.7	5.0
Non-GAAP Gross Margin (%)	49.1	63.0	72.4	76.4
Non-GAAP Operating Margin (%)	37.3	55.5	67.1	71.4

INVESTMENT DRIVERS

- Positive EPS revisions as cycle strength surprises to upside
- Gross margins approaching mid-50s %
- CSPs qualify on HAMR platform, signaling imminent volume shipments
- Further de-leveraging
- Dividend increase / acceleration of buybacks

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 **BEST**	24 Month Horizon	3/5 **MOST**	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Demand accelerates
- AI drives incremental HDD demand
- Smoother cloud cycles drive multiple expansion
- WDC exhibits more pricing power
- HAMR qualification/volume shipment timeline earlier than expected

RISKS TO DOWNSIDE

- GM doesn't further expand
- Pricing normalizes more than expected
- Geopolitical tensions & tariff impacts
- Competitive pressures & HAMR timeline delays
- Dilution from converts more significant than expected

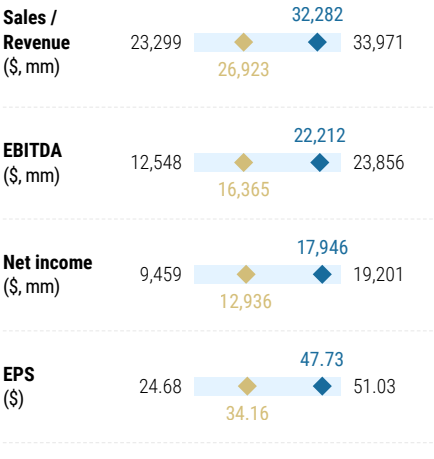
OWNERSHIP POSITIONING

Inst. Owners, % Active	52.7%	
HF Sector Long/Short Ratio	2.2x	
HF Sector Net Exposure	30.6%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2028e



Source: Refinitiv, Morgan Stanley Research

WDC Financial Model

Exhibit 2: WDC Income Statement

	F2026A				F2027E				F2028E								
($ in millions)	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	2025A	2026A	2027E	2028E	2029E
Revenues	**2,818**	**3,017**	**3,337**	**3,747**	**4,381**	**5,108**	**5,765**	**6,448**	**7,064**	**7,699**	**8,318**	**9,201**	**9,520**	**12,919**	**21,702**	**32,282**	**36,646**
Cloud	2,510	2,673	2,972	3,335	3,855	4,484	5,163	5,783	6,394	6,973	7,630	8,444	8,341	11,490	19,285	29,441	33,692
Non-Cloud	308	344	365	412	526	624	603	664	671	725	687	757	1,179	1,429	2,416	2,840	2,954
Cost of Revenue	**1,581**	**1,626**	**1,653**	**1,710**	**1,837**	**1,993**	**2,070**	**2,140**	**2,179**	**2,219**	**2,221**	**2,280**	**5,772**	**6,570**	**8,040**	**8,899**	**8,644**
Gross Profit	**1,237**	**1,391**	**1,684**	**2,037**	**2,544**	**3,115**	**3,695**	**4,308**	**4,885**	**5,480**	**6,097**	**6,921**	**3,748**	**6,349**	**13,662**	**23,383**	**28,002**
Gross Margin	*43.9%*	*46.1%*	*50.5%*	*54.4%*	*58.1%*	*61.0%*	*64.1%*	*66.8%*	*69.1%*	*71.2%*	*73.3%*	*75.2%*	*39.4%*	*49.1%*	*63.0%*	*72.4%*	*76.4%*
Incremental Margin	*68.0%*	*76.5%*	*73.3%*	*84.1%*	*83.6%*	*82.5%*	*82.8%*	*84.1%*	*87.2%*	*91.3%*	*94.1%*	*94.9%*	*60.5%*	*76.5%*	*83.3%*	*91.9%*	*105.8%*
Operating Expenses	**381**	**372**	**397**	**382**	**391**	**404**	**404**	**409**	**420**	**431**	**437**	**442**	**1,424**	**1,532**	**1,608**	**1,730**	**1,851**
Research and development	294	289	294	284	283	296	294	300	304	312	316	322	994	1,161	1,173	1,254	1,356
SG&A	87	83	103	98	108	107	110	110	117	119	121	120	430	371	434	476	495
Income from Operations (PTOP)	**856**	**1,019**	**1,287**	**1,655**	**2,153**	**2,711**	**3,292**	**3,899**	**4,464**	**5,049**	**5,660**	**6,480**	**2,324**	**4,817**	**12,055**	**21,653**	**26,152**
PTOP Margin	*30.4%*	*33.8%*	*38.6%*	*44.2%*	*49.1%*	*53.1%*	*57.1%*	*60.5%*	*63.2%*	*65.6%*	*68.1%*	*70.4%*	*24.4%*	*37.3%*	*55.5%*	*67.1%*	*71.4%*
Total Interest Income (expense), net	**(44)**	**(45)**	**(24)**	**(10)**	**(10)**	**(14)**	**(10)**	**(10)**	**(9)**	**(8)**	**(8)**	**(6)**	**(311)**	**(123)**	**(44)**	**(31)**	**(18)**
Operating Income Before Taxes	**812**	**974**	**1,263**	**1,645**	**2,143**	**2,697**	**3,282**	**3,889**	**4,456**	**5,041**	**5,652**	**6,473**	**2,013**	**4,694**	**12,010**	**21,622**	**26,133**
GAAP Income Tax Provision	155	120	154	52	259	458	558	661	757	857	961	1,100	(513)	481	1,936	3,676	4,443
Recurring Tax Provision	139	147	202	263	364	458	558	661	757	857	961	1,100	193	751	2,041	3,676	4,443
Effective Tax Rate	*17.1%*	*15.1%*	*16.0%*	*16.0%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*	*9.6%*	*16.0%*	*17.0%*	*17.0%*	*17.0%*
Statutory Tax Rate	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*
Amount allocated to preferred shareholder	18	20	13	-	-	-	-	-	-	-	-	-	47	51	-	-	-
Operating Net Income	**655**	**807**	**1,048**	**1,382**	**1,779**	**2,238**	**2,724**	**3,228**	**3,698**	**4,184**	**4,691**	**5,373**	**1,773**	**3,892**	**9,969**	**17,946**	**21,691**
Operating Net Income Margin	*23.2%*	*26.7%*	*31.4%*	*36.9%*	*40.6%*	*43.8%*	*47.2%*	*50.1%*	*52.4%*	*54.3%*	*56.4%*	*58.4%*	*18.6%*	*30.1%*	*45.9%*	*55.6%*	*59.2%*
One-Time Charges/ Adjustments	**(509)**	**(1,015)**	**(2,144)**	**(1,813)**	**-**	**92**	**104**	**116**	**127**	**139**	**150**	**166**	**129**	**(5,481)**	**312**	**582**	**661**
Reported Income Before Taxes (GAAP)	1,337	1,962	3,359	3,247	2,038	2,605	3,178	3,773	4,328	4,902	5,502	6,308	934	9,905	11,593	21,040	25,473
GAAP Net Income including discontinued	1,182	1,842	3,205	3,195	1,779	2,146	2,620	3,112	3,571	4,045	4,541	5,207	1,691	9,424	9,657	17,364	21,030
GAAP Net Income reported (continuing op	1,182	1,842	3,205	3,195	1,779	2,146	2,620	3,112	3,571	4,045	4,541	5,207	1,447	9,424	9,657	17,364	21,030
GAAP Net Income (common shareholde	**1,164**	**1,822**	**3,192**	**3,195**	**1,779**	**2,146**	**2,620**	**3,112**	**3,571**	**4,045**	**4,541**	**5,207**	**1,400**	**9,373**	**9,657**	**17,364**	**21,030**
Numerator for Diluted EPS	1,164	1,822	3,192	3,195	1,779	2,146	2,620	3,112	3,571	4,045	4,541	5,207	1,400	9,373	9,657	17,364	21,030
Stock Option Expense	53	53	53	45	79	92	104	116	127	139	150	166	167	204	391	582	661
Tax Benefit on Stock Option Expense	3	3	3	2	4	5	5	6	6	7	7	8	8	10	20	29	33
Stock Option Expense Per Share	$0.14	$0.13	$0.13	$0.11	$0.20	$0.23	$0.25	$0.29	$0.32	$0.35	$0.38	$0.42	$0.44	$0.51	$0.97	$1.47	$1.74
Operating Net Income (pre-stock option	**705**	**857**	**1,098**	**1,425**	**1,854**	**2,326**	**2,823**	**3,338**	**3,819**	**4,316**	**4,834**	**5,531**	**1,932**	**4,086**	**10,341**	**18,499**	**22,319**
Fully-diluted EPS																	
EPS - ModelWare	**$1.78**	**$2.13**	**$2.72**	**$3.56**	**$4.64**	**$5.89**	**$7.03**	**$8.39**	**$9.69**	**$11.06**	**$12.51**	**$14.48**	**$4.97**	**$10.24**	**$25.97**	**$47.73**	**$60.19**
EPS - Reported	$3.15	$4.82	$8.29	$8.23	$4.64	$5.64	$6.76	$8.09	$9.36	$10.69	$12.11	$14.04	$3.92	$24.67	$25.16	$46.18	$58.36
EPS - ModelWare excl. Stock Option Ex	$1.91	$2.27	$2.85	$3.67	$4.84	$6.12	$7.28	$8.68	$10.01	$11.40	$12.89	$14.91	$5.41	$10.75	$26.94	$49.20	$61.94
Dividend Payment	34	43	52	54	63	66	66	65	74	73	72	72	35	183	260	291	333
Dividend Per Share	$0.10	$0.13	$0.15	$0.15	$0.18	$0.18	$0.18	$0.18	$0.20	$0.20	$0.20	$0.20	$0.10	$0.51	$0.70	$0.81	$0.98
Period Ending Outstanding Shares	342	340	345	361	360	378	375	372	369	366	362	358	348	361	372	358	341
Avg Shares (Basic)	345	341	342	350	366	369	377	374	371	367	364	360	350	345	371	365	349
Avg Shares (Fully Diluted)	369	378	385	388	383	380	388	385	382	378	375	371	357	380	384	376	360

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: WDC Income Statement Analysis

($ in millions)	F2026A Sep-25	F2026A Dec-25	F2026A Mar-26	F2026A Jun-26	F2027E Sep-26	F2027E Dec-26	F2027E Mar-27	F2027E Jun-27	F2028E Sep-27	F2028E Dec-27	F2028E Mar-28	F2028E Jun-28	2025A	2026A	2027E	2028E	2029E
Margin Analysis																	
Gross Margin	**43.9%**	**46.1%**	**50.5%**	**54.4%**	**58.1%**	**61.0%**	**64.1%**	**66.8%**	**69.1%**	**71.2%**	**73.3%**	**75.2%**	**39.4%**	**49.1%**	**63.0%**	**72.4%**	**76.4%**
Cloud	45.8%	48.2%	52.4%	55.6%	59.1%	61.7%	64.8%	67.6%	70.0%	72.1%	74.2%	76.2%	42.2%	50.9%	63.8%	73.3%	77.4%
Non-Cloud	28.8%	30.2%	34.5%	44.5%	50.5%	55.8%	58.0%	60.0%	61.2%	62.4%	63.6%	64.7%	19.4%	35.1%	56.4%	63.0%	65.0%
SG&A	3.1%	2.8%	3.1%	2.6%	2.5%	2.1%	1.9%	1.7%	1.7%	1.6%	1.5%	1.3%	4.5%	2.9%	2.0%	1.5%	1.4%
Operating Expenses	13.5%	12.3%	11.9%	10.2%	8.9%	7.9%	7.0%	6.4%	6.0%	5.6%	5.3%	4.8%	15.0%	11.9%	7.4%	5.4%	5.1%
EBITDA Margin	33.5%	36.8%	41.4%	46.8%	51.5%	55.3%	59.1%	62.4%	63.2%	66.3%	68.6%	71.0%	28.2%	40.2%	57.7%	68.8%	73.2%
PTOP Margin	30.4%	33.8%	38.6%	44.2%	49.1%	53.1%	57.1%	60.5%	63.2%	65.6%	68.1%	70.4%	24.4%	37.3%	55.5%	67.1%	71.4%
Pretax Margin	28.8%	32.3%	37.8%	43.9%	48.9%	52.8%	56.9%	60.3%	63.1%	65.5%	68.0%	70.4%	21.1%	36.3%	55.3%	67.0%	71.3%
Net Income	23.2%	26.7%	31.4%	36.9%	40.6%	43.8%	47.2%	50.1%	52.4%	54.3%	56.4%	58.4%	18.6%	30.1%	45.9%	55.6%	59.2%
Year-Over-Year Growth (%)																	
Revenue	**27.4%**	**25.2%**	**45.5%**	**43.8%**	**55.5%**	**69.3%**	**72.8%**	**72.1%**	**61.2%**	**50.7%**	**44.3%**	**42.7%**	**50.7%**	**35.7%**	**68.0%**	**48.8%**	**13.5%**
Cloud	31.5%	27.5%	48.1%	43.2%	53.6%	67.8%	73.7%	73.4%	65.8%	55.5%	47.8%	46.0%	65.1%	37.8%	67.8%	52.7%	14.4%
Non-Cloud	1.7%	9.9%	27.2%	49.3%	70.7%	81.3%	65.1%	61.2%	27.6%	16.3%	14.0%	14.0%	-6.8%	21.2%	69.1%	17.5%	4.0%
Gross Margin	49.9%	50.2%	83.0%	89.1%	105.7%	123.9%	119.4%	111.5%	92.0%	75.9%	65.0%	60.7%	107.0%	69.4%	115.2%	71.1%	19.8%
Product Development	12.2%	28.4%	20.0%	8.4%	-3.7%	2.5%	0.0%	5.6%	7.3%	5.2%	7.5%	7.4%	4.6%	16.8%	1.0%	6.9%	8.2%
SG&A	-44.9%	-24.5%	30.4%	18.1%	24.1%	29.2%	6.4%	11.8%	7.9%	11.2%	10.1%	9.1%	-17.0%	-13.7%	17.1%	9.6%	3.9%
Operating Expenses	**-9.3%**	**11.0%**	**22.5%**	**10.7%**	**2.6%**	**8.5%**	**1.7%**	**7.2%**	**7.5%**	**6.8%**	**8.2%**	**7.9%**	**-3.0%**	**7.6%**	**4.9%**	**7.6%**	**7.0%**
PTOP	111.4%	72.4%	115.9%	126.1%	151.5%	166.1%	155.8%	135.6%	107.4%	86.2%	71.9%	66.2%	577.6%	107.3%	150.3%	79.6%	20.8%
EBT	153.8%	94.4%	146.7%	141.9%	163.9%	176.9%	159.8%	136.4%	107.9%	86.9%	72.2%	66.5%	NM	133.2%	155.9%	80.0%	20.9%
Net Income	146.2%	92.1%	115.2%	130.3%	171.6%	177.4%	159.9%	133.6%	107.9%	86.9%	72.2%	66.5%	NM	119.5%	156.1%	80.0%	20.9%
ModelWare EPS	**138.2%**	**77.9%**	**100.1%**	**114.9%**	**161.7%**	**175.8%**	**158.2%**	**135.6%**	**108.6%**	**87.8%**	**78.0%**	**72.6%**	**NM**	**106.1%**	**153.6%**	**83.8%**	**26.1%**
Sequential Growth (%)																	
Revenue	**8.2%**	**7.1%**	**10.6%**	**12.3%**	**16.9%**	**16.6%**	**12.9%**	**11.8%**	**9.6%**	**9.0%**	**8.0%**	**10.6%**					
Cloud	7.8%	6.5%	11.2%	12.2%	15.6%	16.3%	15.1%	12.0%	10.6%	9.1%	9.4%	10.7%					
Non-Cloud	11.6%	11.7%	6.1%	12.9%	27.5%	18.7%	-3.4%	10.3%	0.9%	8.2%	-5.2%	10.2%					
Gross Margin	14.9%	12.4%	21.1%	21.0%	24.9%	22.4%	18.6%	16.6%	13.4%	12.2%	11.3%	13.5%					
Product Development	12.2%	-1.7%	1.7%	-3.4%	-0.4%	4.7%	-0.7%	2.0%	1.3%	2.6%	1.4%	1.9%					
SG&A	4.8%	-4.6%	24.1%	-4.9%	10.2%	-0.7%	2.1%	0.1%	6.3%	2.4%	1.1%	-0.8%					
Operating Expenses	**10.4%**	**-2.4%**	**6.7%**	**-3.8%**	**2.4%**	**3.2%**	**0.0%**	**1.4%**	**2.7%**	**2.6%**	**1.3%**	**1.1%**					
PTOP Margin	16.9%	19.0%	26.3%	28.6%	30.1%	25.9%	21.4%	18.4%	14.5%	13.1%	12.1%	14.5%					
Pretax Margin	19.4%	20.0%	29.7%	30.2%	30.3%	25.8%	21.7%	18.5%	14.6%	13.1%	12.1%	14.5%					
Net Income	9.2%	23.2%	29.9%	31.9%	28.7%	25.8%	21.7%	18.5%	14.6%	13.1%	12.1%	14.5%					
ModelWare EPS	**7.1%**	**20.3%**	**27.5%**	**30.9%**	**30.4%**	**26.7%**	**19.4%**	**19.4%**	**15.5%**	**14.1%**	**13.2%**	**15.8%**					

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: WDC Balance Sheet

($ in millions)	F2026A				F2027E				F2028E								
	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	2025A	2026A	2027E	2028E	2029E
Assets																	
Current Assets:																	
Cash and cash equivalents	2,048	1,975	2,050	1,579	1,314	1,441	1,667	1,959	2,221	2,392	2,995	3,715	2,114	1,579	1,959	3,715	10,104
Short-term investments																	
Accounts receivable, net	1,355	1,685	1,894	2,026	2,232	2,665	2,947	3,047	3,302	4,017	4,204	4,348	1,486	2,026	3,047	4,348	4,936
Inventories	1,393	1,349	1,357	1,511	1,781	1,755	1,748	1,740	1,848	1,833	1,855	1,854	1,291	1,511	1,740	1,854	1,801
Other current assets	514	454	423	518	541	1,022	1,153	1,290	1,413	1,540	1,664	1,840	611	518	1,290	1,840	2,089
Retained interest in Sandisk	965	2,068	1,187	-	-	-	-	-	-	-	-	-	354	-	-	-	-
Current assets of discontinued operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Assets	**6,275**	**7,531**	**6,911**	**5,634**	**5,868**	**6,882**	**7,515**	**8,035**	**8,783**	**9,781**	**10,718**	**11,757**	**5,856**	**5,634**	**8,035**	**11,757**	**18,929**
Property, equipment and leasehold improvements	2,345	2,352	2,422	2,476	2,586	2,882	3,226	3,619	4,055	4,536	5,058	5,643	2,343	2,476	3,619	5,643	6,813
Goodwill	4,319	4,319	4,321	4,321	4,321	4,321	4,321	4,321	4,321	4,321	4,321	4,321	4,319	4,321	4,321	4,321	4,321
Intangible assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Assets, net	1,420	1,409	1,391	1,430	1,464	1,464	1,464	1,464	1,464	1,464	1,464	1,464	1,484	1,430	1,464	1,464	1,464
Non-current assets of discontinued operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Assets	**14,359**	**15,611**	**15,045**	**13,861**	**14,239**	**15,549**	**16,526**	**17,439**	**18,623**	**20,102**	**21,561**	**23,185**	**14,002**	**13,861**	**17,439**	**23,185**	**31,527**
Liabilities																	
Current Liabilities:																	
Accounts payable	1,533	1,497	1,587	1,774	1,855	1,906	2,001	1,928	2,085	2,050	2,123	1,929	1,266	1,774	1,928	1,929	1,874
Accrued expenses	703	771	766	690	675	863	890	918	936	954	957	980	719	690	918	980	967
Income taxes payable	298	459	501	551	469	469	469	469	469	469	469	469	800	551	469	469	469
Accrued compensation	413	223	202	173	304	575	594	612	624	636	638	653	407	173	612	653	630
Short term debt	2,226	2,226	1,581	1,052	789	789	789	789	789	789	789	789	2,226	1,052	789	789	789
Current liabilities of discontinued operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Liabilities	**5,173**	**5,176**	**4,637**	**4,240**	**4,092**	**4,602**	**4,743**	**4,716**	**4,903**	**4,898**	**4,976**	**4,820**	**5,418**	**4,240**	**4,716**	**4,820**	**4,729**
Long Term Liabilities																	
Other liabilities	612	666	728	757	799	671	693	714	728	742	744	762	559	757	714	762	752
Long-term debt, less current portion	2,457	2,429	-	-	-	-	-	-	-	-	-	-	2,485	-	-	-	-
Non-current liabilities of discontinued operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Long Term Liabilities	**3,069**	**3,095**	**728**	**757**	**799**	**671**	**693**	**714**	**728**	**742**	**744**	**762**	**3,044**	**757**	**714**	**762**	**752**
Total Liabilities	**8,242**	**8,271**	**5,365**	**4,997**	**4,891**	**5,273**	**5,436**	**5,429**	**5,630**	**5,640**	**5,720**	**5,582**	**8,462**	**4,997**	**5,429**	**5,582**	**5,481**
Total Stockholder's Equity	**6,117**	**7,340**	**9,680**	**8,864**	**9,348**	**10,276**	**11,090**	**12,010**	**12,993**	**14,462**	**15,841**	**17,603**	**5,540**	**8,864**	**12,010**	**17,603**	**26,046**
Total Liabilities and Stockholder's Equity	**14,359**	**15,611**	**15,045**	**13,861**	**14,239**	**15,549**	**16,526**	**17,439**	**18,623**	**20,102**	**21,561**	**23,185**	**14,002**	**13,861**	**17,439**	**23,185**	**31,527**

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: WDC Cash Flow Statement

($ in millions)	F2026A				F2027E				F2028E								
	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	2025A	2026A	2027E	2028E	2029E
Cash Flow Statement (Non Cumulative)																	
Operating activities:																	
Net Income / (Loss)	**1,182**	**1,842**	**3,205**	**3,195**	**1,779**	**2,146**	**2,620**	**3,112**	**3,571**	**4,045**	**4,541**	**5,207**	**1,691**	**9,424**	**9,657**	**17,364**	**21,030**
Depreciation and Amortization	88	92	96	99	104	112	117	123	129	136	143	151	360	375	456	559	662
Stock based compensation incl. accelerated vesting char	53	53	53	45	79	92	104	116	127	139	150	166	191	204	391	582	661
Deferred income taxes	55	29	47	(2)	(30)	-	-	-	-	-	-	-	(771)	129	(30)	-	-
Gain on disposal of assets	(611)	(1,103)	-	-	-	-	-	-	-	-	-	-	3	(1,714)	-	-	-
Gain on business diversture	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Asset Impairment	-	-	-	35	-	-	-	-	-	-	-	-	-	35	-	-	-
Gain on repurchase of debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Amortization of debt issuance costs and discounts	-	-	-	-	-	-	-	-	-	-	-	-	11	-	-	-	-
Unrealized loss on retained interest in Sandisk	-	-	(2,734)	(2,050)	-	-	-	-	-	-	-	-	772	(4,784)	-	-	
Other, net	4	8	549	357	3	-	-	-	-	-	-	-	127	918	3	-	-
Changes in Operating Assets and Liabilities:																	
Accounts receivable	131	(330)	(209)	(133)	(206)	(433)	(282)	(100)	(255)	(715)	(188)	(143)	48	(541)	(1,021)	(1,301)	(588)
Inventories	(101)	46	(9)	(154)	(269)	26	7	8	(108)	15	(22)	1	(158)	(218)	(228)	(114)	53
Accounts payable	248	(29)	70	96	52	51	95	(73)	157	(35)	73	(194)	333	385	125	1	(55)
Accrued payable to related parties	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued expenses, income taxes and warranty	-	-	-	-	-	188	28	27	18	18	3	23	394	-	243	62	(12)
Accrued employee compensation	-	-	-	-	-	271	19	18	12	12	2	15	10	-	308	41	(24)
Other assets and liabilities	(377)	137	55	(99)	92	(609)	(110)	(115)	(109)	(113)	(122)	(159)	(1,143)	(284)	(742)	(502)	(258)
Net Cash Provided by Operating Activities	**672**	**745**	**1,123**	**1,389**	**1,604**	**1,846**	**2,597**	**3,116**	**3,542**	**3,502**	**4,581**	**5,067**	**1,868**	**3,929**	**9,163**	**16,692**	**21,469**
Investing activities:																	
Acquisition of property, equipment and leasehold improve	(73)	(92)	(145)	(108)	(227)	(409)	(461)	(516)	(565)	(616)	(665)	(736)	(341)	(418)	(1,613)	(2,583)	(1,832)
Proceeds from sale of PPE	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Maturities and sales of short-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchases of short-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Acquisition, net of cash and cash equiv.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Restricted cash (TRA)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of certain investments	-	-	-	-	-	-	-	-	-	-	-	-	210	-	-	-	-
Other, net	16	(24)	-	(3)	2	-	-	-	-	-	-	-	61	(11)	2	-	-
Net cash used in investing activities	**(57)**	**(116)**	**(145)**	**(111)**	**(225)**	**(409)**	**(461)**	**(516)**	**(565)**	**(616)**	**(665)**	**(736)**	**(70)**	**(429)**	**(1,611)**	**(2,583)**	**(1,832)**
Financing activities:																	
Employee stock plans, net	(55)	(8)	(102)	(147)	(317)	56	56	57	58	59	60	60	120	(312)	(148)	237	85
Issuance of long-term debt, net of issuance costs	-	-	-	-	-	-	-	-	-	-	-	-	1,826	-	-	-	-
Repayment of long-term debt, including extinguishments	(31)	(32)	(5)	350	300	-	-	-	-	-	-	-	(1,837)	282	300	-	-
Repayment of convertible debentures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash transferred to Sandisk related to Separation	-	-	-	-	-	-	-	-	-	-	-	-	(1,366)	-	-	-	-
Cash used to repurchase stock	(553)	(615)	(752)	(672)	(1,001)	(1,300)	(1,900)	(2,300)	(2,700)	(2,700)	(3,300)	(3,600)	(149)	(2,592)	(6,501)	(12,300)	(13,000)
Distributions to shareholders	(39)	(48)	(43)	(54)	(56)	(66)	(66)	(65)	(74)	(73)	(72)	(72)	(44)	(184)	(253)	(291)	(333)
Excess tax benefit from stock options	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other, net	-	-	-	(1,226)	(570)	-	-	-	-	-	-	-	(595)	(1,226)	(570)	-	-
Net Cash used in Financing Activities	**(678)**	**(703)**	**(902)**	**(1,749)**	**(1,644)**	**(1,311)**	**(1,909)**	**(2,308)**	**(2,715)**	**(2,714)**	**(3,313)**	**(3,611)**	**(2,045)**	**(4,032)**	**(7,172)**	**(12,354)**	**(13,248)**
Effect of changes in foreign currency exchange rates	(3)	1	(1)	-	-	-	-	-	-	-	-	-	810	(3)	-	-	
Increase/(decrease) in Cash and Cash Equivalents	**(66)**	**(73)**	**75**	**(471)**	**(265)**	**127**	**226**	**292**	**261**	**172**	**603**	**720**	**563**	**(535)**	**380**	**1,756**	**6,389**
Cash and Cash Equivalents at Beginning of Period	2,114	2,048	1,975	2,050	1,579	1,314	1,441	1,667	1,959	2,221	2,392	2,995	1,551	2,114	1,579	1,959	3,715
Cash, Cash Equivalents & Restricted Cash at End of Pe	**2,048**	**1,975**	**2,050**	**1,579**	**1,314**	**1,441**	**1,667**	**1,959**	**2,221**	**2,392**	**2,995**	**3,715**	**2,114**	**1,579**	**1,959**	**3,715**	**10,104**
Cash Flow From Discontinued Ops	-	-	-	-	-	-	-	-	-	-	-	-	(11,230)	-	-	-	-
Cash and Cash Equivalents at End of Period	**2,048**	**1,975**	**2,050**	**1,579**	**1,314**	**1,441**	**1,667**	**1,959**	**2,221**	**2,392**	**2,995**	**3,715**	**2,114**	**1,579**	**1,959**	**3,715**	**10,104**

Source: Company data, Morgan Stanley Research estimates

Valuation Methodology and Risks

Seagate Technology (STX.O)

Our PT implies 15.0x our FY28 EPS of $80.10, as we expect earnings upward revisions by the Street with shares trading 1.0x turn above the peak multiples in the previous industry upcycle.

Risks to Upside

- Demand accelerates
- AI drives incremental HDD demand
- GM expands to high-50% range
- Smoother/stronger cloud cycles drive multiple expansion
- STX exhibits more pricing power
- HAMR drives share gains

Risks to Downside

- Qualifications for high-capacity drives take longer than expected
- Steeper declines from cyclical markets
- GM doesn't further expand
- Pricing normalizes more than expected
- Geopolitical tensions & tariff costs

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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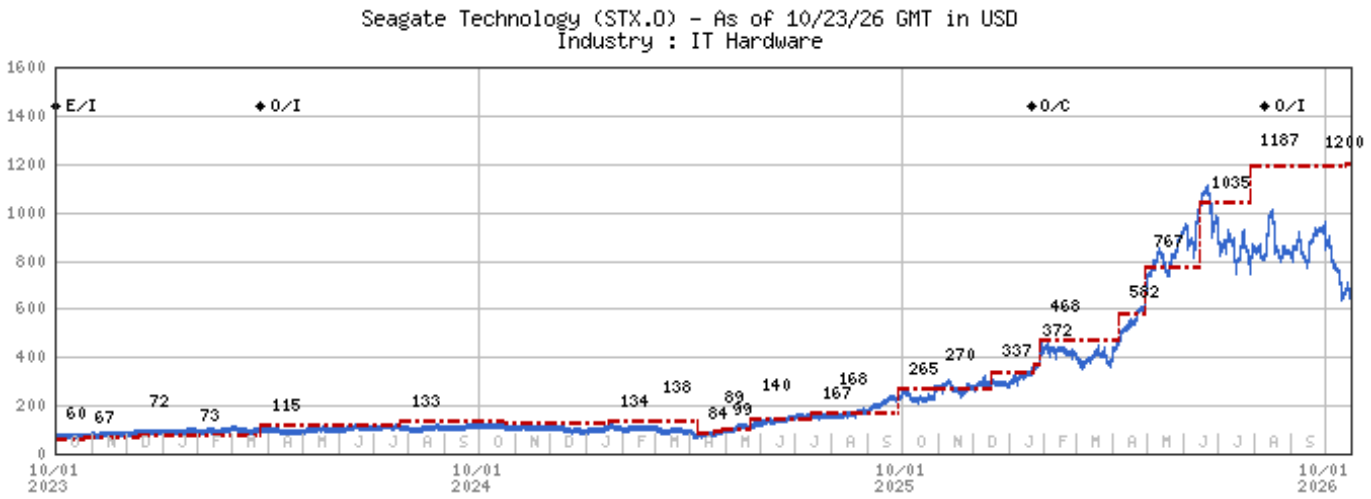
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : O/I; 10/5/21 : E/C; 1/18/23 : O/I; 4/21/23 : E/I; 3/26/24 : O/I; 1/20/26 : O/C; 8/10/26 : O/I

Price Target History: 7/21/21 : 118; 10/5/21 : 88; 10/22/21 : 94; 1/26/22 : 101; 3/30/22 : 99; 4/27/22 : 95; 7/14/22 : 89; 7/21/22 : 84; 8/31/22 : 70; 10/17/22 : 57; 10/26/22 : 54; 1/18/23 : 69; 1/26/23 : 72; 4/21/23 : 60; 10/26/23 : 67; 12/12/23 : 72; 1/25/24 : 73; 3/26/24 : 115; 7/24/24 : 133; 1/21/25 : 134; 2/26/25 : 138; 4/8/25 : 84; 4/22/25 : 89; 4/29/25 : 99; 5/23/25 : 140; 7/14/25 : 167; 7/29/25 : 168; 9/28/25 : 265; 10/29/25 : 270; 12/17/25 : 337; 1/22/26 : 372; 1/28/26 : 468; 4/6/26 : 582; 4/28/26 : 767; 6/15/26 : 1035; 7/28/26 : 1187; 10/19/26 : 1200

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

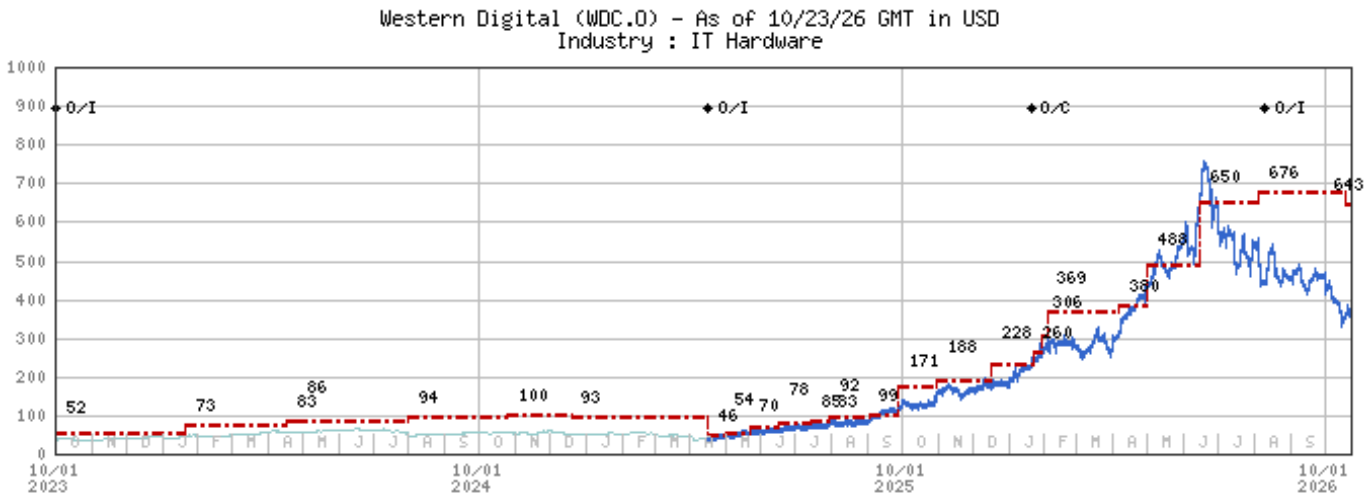
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Stock Rating History: 10/1/21 : O/I; 10/5/21 : O/C; 1/18/23 : O/I; 4/16/25 : O/I; 1/20/26 : O/C; 8/10/26 : O/I

Price Target History: 4/30/21 : 88; 10/28/21 : 82; 1/28/22 : 71; 8/7/22 : 65; 10/24/22 : 52; 1/21/24 : 73; 4/18/24 : 83; 4/26/24 : 86; 8/1/24 : 94; 10/25/24 : 100; 12/19/24 : 93; 4/16/25 : 46; 5/1/25 : 54; 5/22/25 : 70; 6/17/25 : 78; 7/14/25 : 85; 7/28/25 : 83; 7/30/25 : 92; 9/2/25 : 99; 9/28/25 : 171; 10/31/25 : 188; 12/17/25 : 228; 1/22/26 : 260; 1/30/26 : 306; 2/3/26 : 369; 4/6/26 : 380; 5/1/26 : 488; 6/15/26 : 650; 8/5/26 : 676; 10/19/26 : 643

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/22/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	$348.22
CDW Corporation (CDW.O)	O (06/23/2026)	$164.62
Cricut Inc (CRCT.O)	U (08/12/2021)	$6.41
Dell Technologies Inc. (DELL.N)	E (06/01/2026)	$452.95
Everpure, Inc. (P.N)	O (08/10/2026)	$121.20
Garmin Ltd (GRMN.N)	E (02/18/2026)	$295.40
GoPro Inc (GPRO.O)	U (12/12/2023)	$1.02
Hewlett Packard Enterprise (HPE.N)	O (08/10/2026)	$55.47
HP Inc. (HPQ.N)	U (11/16/2025)	$33.76
IBM (IBM.N)	E (01/18/2023)	$252.11
Ingram Micro (INGM.N)	E (06/11/2025)	$27.50
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	$17.27
Logitech International SA (LOGI.O)	U (01/20/2026)	$112.52
NetApp Inc (NTAP.O)	E (08/10/2026)	$212.51
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	$17.79
Seagate Technology (STX.O)	O (03/26/2024)	$642.14
SmartRent, Inc. (SMRT.N)	++	$1.24
Sonos Inc. (SONO.O)	E (11/06/2025)	$17.71
TD Synnex Corporation (SNX.N)	O (06/11/2025)	$247.08
Teradata (TDC.N)	E (08/10/2026)	$34.21
Western Digital (WDC.O)	O (04/16/2025)	$354.19
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	$69.55

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